

ELI LILLY'S GLOBAL PROGRESS



Eli Lilly is planning to expand its injectable manufacturing capacity, with an investment of \$2.5 billion to build a site in Germany



It recently entered a research collaboration with Isomorphic Labs to potentially redefine drug discovery using the power of AI



This year, Lilly launched Lilly Direct, a new digital healthcare experience for patients in the US living with obesity, migraine and diabetes



The Lilly Research Award Program (LRAP) lets Lilly scientists partner with global counterparts to collaboratively advance research projects

positively impacted over 1,000 patients,” says Gupta.

Donanemab, Lilly’s potential breakthrough in Alzheimer’s disease, could be introduced worldwide after the USFDA clears it.

Lilly operates in India through Eli Lilly and Company (India) Pvt. Ltd, which supplies pharmaceuticals, and Eli Lilly Services India Pvt. Ltd, which is a cross-functional centre that leverages data, content, analytics, and technology to support the global drug development process.

BUSINESS AT ITS BEST

Ricks expects rising household incomes to boost the consumption of pharmaceuticals and so drive the business of Lilly and other multinationals. “Currently, the Indian market is relatively small for us and other MNCs; However, this dynamic may shift. There are certain favourable factors at play, particularly the country’s economic growth,” says Ricks.

Ricks says the policy landscape in India has posed challenges for MNCs, referring to protection for intellectual property (IP) and more transparent regulatory systems.

Even though India is now a relatively small market for Lilly, its planned investment of \$2.5 billion to expand manufacturing capacity in Germany, hints at fresh investment in India as well. “Investment in In-

dia depends on the prevailing environment. This year, our global capital expenses amount to \$6.5 billion, with R&D expenditures reaching \$11 billion. These are substantial sums, yet very little is allocated to India at present,” says Ricks.

TAPPING THE MARKET

Analysts say India’s diabetes and obesity portfolios will grow significantly. According to Pharmarack, a B2B Indian healthcare management platform, the Indian diabetes market was valued at ₹1.40 lakh crore in FY21 and could reach ₹4.85 lakh crore by 2031. The numbers include diabetes devices and diabetes drugs.

“The anti-diabetic market continues to grow strong due to unhealthy lifestyle habits,” says Sheetal Sapale, VP at Pharmarack. “Lilly has Trulicity (dulaglutide) in the Type 2 diabetes market. The launch of Mounjaro (tirzepatide) strengthens its position in this segment.”

Research firm IMARC Group says the Indian obesity market, now valued at around ₹500 crore, has shown rapid growth, with a CAGR of 32% over the past five years. It forecasts the Indian weight management market to expand to ₹2,763 crore by 2028.

Since 2019, the anti-obesity market was growing in single digits, says Sapale. But after Novo Nordisk brought its semaglutide (Rybelsus) in January 2022, the market has nearly tripled in value and doubled in quantity, says Sapale. “The rapid surge might not directly correlate with the rise in cases but could signal a growing willingness to address obesity issues,” she says.

In India, Lilly faces competition from both established MNCs and domestic players. MNC competitors are Danish drug maker Novo Nordisk, known for its GLP-1 drugs Wegovy and Ozempic, France’s Sanofi, US-based Merck and Pfizer, and Japan’s Takeda.

Lilly’s Indian rivals are Cipla, Lupin, Sun Pharma, Dr. Reddy’s, and Zydus Lifesciences. While Cipla and Lupin distribute some of Lilly’s existing diabetes treatments, they also have established product lines.

Ricks says Lilly has a significant lead, but admits that the competition is strong. “Competition is healthy, providing patients with more options, which we welcome,” says Ricks. “We develop many new treatments for this medical condition (diabetes/obesity), with most originating from our company.”

Then he asserts: “Lilly has better drugs.” Maybe he has a point: In 2023, Lilly became the world’s biggest healthcare company by market capitalisation, growing 59.2% year-on-year to \$553.4 billion. Will it become the only drug maker in the trillion-dollar league of technology companies? **BT**

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